

CONTRACT RENEWAL AND TERMINATION SOP

Standard Operating Procedure | SOP No. SOP-CRT-006 | Version 2.3

SOP Number:	SOP-CRT-006
Version:	2.3
Effective Date:	April 23, 2025
Process Owner:	Jeffrey Herring (EMP-6338) — Manager
Applicable System(s):	Audit Assistant Platform / ERP / Finance System

1. PURPOSE

This SOP defines the standardised process for contract renewal and termination to ensure consistency, control effectiveness, and audit traceability across all business units.

2. PROCESS FLOW

- Step 1:** System flags contracts with end_date within 90 days
- Step 2:** Contract owner reviews vendor performance and compliance status
- Step 3:** Renewal recommendation submitted to Contract Management Policy approver
- Step 4:** If not renewed, termination notice issued per contractual notice period
- Step 5:** Contract status updated to EXPIRED or TERMINATED in Contract Master
- Step 6:** Final invoice reconciliation completed within 30 days of termination

3. ROLES AND RESPONSIBILITIES

Role	Responsibility
Risk Analyst	Performs periodic reconciliation and reporting
AP Specialist	Initiates and validates process inputs
Department Head	Performs periodic reconciliation and reporting
Procurement Analyst	Monitors exceptions and escalates as required

4. CONTROLS

This process incorporates the following key controls: (i) system-enforced validation against the Delegation of Authority Policy; (ii) mandatory documentation attachment prior to approval; (iii) periodic exception reporting to Internal Audit; and (iv) quarterly process effectiveness review.

5. EXCEPTION HANDLING

Any deviation from this SOP must be documented with justification and approved by Manager or delegate. Exceptions are logged in the exception register and reviewed monthly by the Risk Committee. Repeated exceptions of the same type will trigger a process redesign review.

6. RELATED DOCUMENTS

This SOP should be read in conjunction with the Delegation of Authority Policy, the Internal Audit Charter, and the relevant functional policy governing this process area.